Case Study

a. Aishwarya's father has gifted her the shares of a large cement company with which he had been working. The securities were in physical form. She already has a bank account and does not possess any other forms of securities.

She wishes to sell the shares and approached a registered broker for the purpose. Mention one mandatory detail which she will have to provide with the broker.

b. Mr.Kumar was the Chairman of Thangam Bank. The bank was earning good profits. Shareholders were happy as the bank was paying regular dividends. The market price of their share was also steadily rising. The bank was about to announce taking over the 'Trinity Bank'. Mr.Kumar knew that the share price of Thangam Bank would rise on this announcement. Being a part of the bank, he was not allowed to buy shares of the bank. He called one of the his rich friends Mr.Prabhu and asked him to invest ₹5 crores in shares of his bank promising him the capital gains.

As expected, the share prices went up by 40% and the market price of Prabhu's shares was now ₹7 crores. He earned a profit of ₹2 crores. He gave ₹1 crore to Mr.Kumar and kept ₹1 crore with himself. On regular inspection and by conducting enquires of the brokers involved, the Securities and Exchange Board of India (SEBI) was able to detect this irregularity. The SEBI imposed a heavy penality on Mr.Kumar.

By quoting the lines from the above paragraph, identify and state any two functions that were performed by SEBI in the above case.

For Own Thinking

1. Collect the information on various measures taken by SEBI to protect the interests of investors since its inception.
2. Send a group of students to a trading terminal in your city to gain first hand information on securities trading and prepare a report.
3. Collect information about SEBI action for Investor Protection taken duringlast two years.

For Own Thinking

1. Prepare a report on the role of SEBI in regulating the Indian stock market.

   You can get this information on its website namely www.sebi.gov.in. Do you think something else should be done to increase the number of investors in the stock market?

2. Investors' Grievances Redressal

i. SEBI and Stock Exchanges have set up investor grievance redressal cells for fast redressal of investor complaints relating to securities markets

ii. SEBI has directed all the stock exchanges, registered brokers, sub-brokers, depositories and listed companies to make a provision for a special email ID of the grievance redressal division/ compliance officer for the purpose of registering complaints by the investors

iii. SEBI has set up a mechanism for redressal of investor grievances arising from the issue process

iv. SEBI provides "walk-in" service at its head office at Mumbai and its regional offices at New Delhi, Chennai, Kolkatta and Ahmedabad on all working days. Investors can meet the officials and get guidance relating to the grievances that they may have against issuers. Investors can also meet the higher officials of SEBI on specified working days

v. Investors can lodge their complaints with SEBI at: investorcomplaints@sebi.gov.in

vi. Investors can approach SEBI for any assistance at: asksebi@sebi.gov.in

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